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CUET UG

Economics

# Introduction and National Income Accounting

Official Syllabus · Course II: Introductory Macroeconomics · Class 12 · CUET UG 2027 Cycle Notes

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## Syllabus Alignment

| Sub-topic | Official syllabus pointer (NTA CUET(UG) Economics syllabus 2026, the current 2027 baseline, Course II) | Skills the questions test |
|---|---|---|
| **Macroeconomics and basic concepts** | What is macroeconomics? Basic concepts: consumption goods, capital goods, final goods, intermediate goods; stocks and flows; gross investment and depreciation; circular flow of income | Classifying goods as final or intermediate, sorting stocks from flows, and explaining the circular flow loop. |
| **Methods and aggregates** | Methods of calculating National Income — value added or product method, income method, expenditure method; aggregates: GDP, GNP, NDP, NNP at market price and factor cost | Computing national income by any method with the right precautions, and converting between aggregates without slipping. |
| **Real vs nominal, GDP and welfare** | Real and Nominal GDP; GDP deflator; GDP and welfare | Deflating nominal GDP into real GDP, reading the deflator, and arguing where GDP misleads about welfare. |

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**EXAM PATTERN**

CUET UG pattern (NTA official information bulletin and syllabus, 2026 cycle — the current 2027 baseline): each subject paper carries **50 compulsory questions** in **60 minutes**, with +5 for every correct answer and −1 for every incorrect answer. The Economics paper follows NCERT Class 12 Economics; national income accounting is its numerical heart — conversion chains (GDP to NDP to GNP to NNP, MP to FC) and inclusion-exclusion checks dominate the questions from this unit.

## Macroeconomics: The Economy-Wide View

Microeconomics watched one buyer and one seller; macroeconomics zooms out to the whole film. One farmer's harvest is micro — the country's total food grain output, the general price level, the number of unemployed people: that is macro's territory. The subject was born in crisis: the Great Depression of the 1930s forced John Maynard Keynes to study the economy as one interconnected machine.

| Concept pair | The difference | Examples to anchor it |
|---|---|---|
| Consumption vs capital goods | Consumption goods satisfy wants directly; capital goods produce OTHER goods (they are used up slowly) | Bread and shirts vs machines, factory sheds, roads |
| Final vs intermediate goods | Final goods leave the production boundary — bought for use; intermediate goods are resold or used up within the year | Bread = final; flour bought by the bakery = intermediate |
| Stock vs flow | Stock is measured at a MOMENT; flow is measured over a PERIOD | Wealth, capital, water in a tank vs income, investment, rainfall |
| Gross vs net investment | Gross = total new capital added; Net = Gross − depreciation (wear and tear) | New machines 100, wear-out 20 → net addition 80 |

- **The final-goods rule carries the whole chapter:** only final goods enter GDP. The flour inside the bakery's bread is already inside the bread's price — counting both would count the flour twice.
- **The same physical good can be either:** sugar bought by a household is final; sugar bought by a sweet shop is intermediate. The USE decides, never the object.
- **Stock-flow test for MCQs:** ask "could I measure it at 11 a.m. on 1st April?" — wealth: yes (stock). Income during April: needs the whole month (flow).

## The Circular Flow: Why Three Methods Must Agree

Follow ₹100 through the economy. A firm pays it to a worker (factor payment). The worker spends it on bread (consumption). The bakery receives it as revenue — and pays it out again as wages and rent. Money never sits still; it loops. That loop is the **circular flow of income**, and it carries a powerful secret: production, income and expenditure are three views of the SAME rupee.

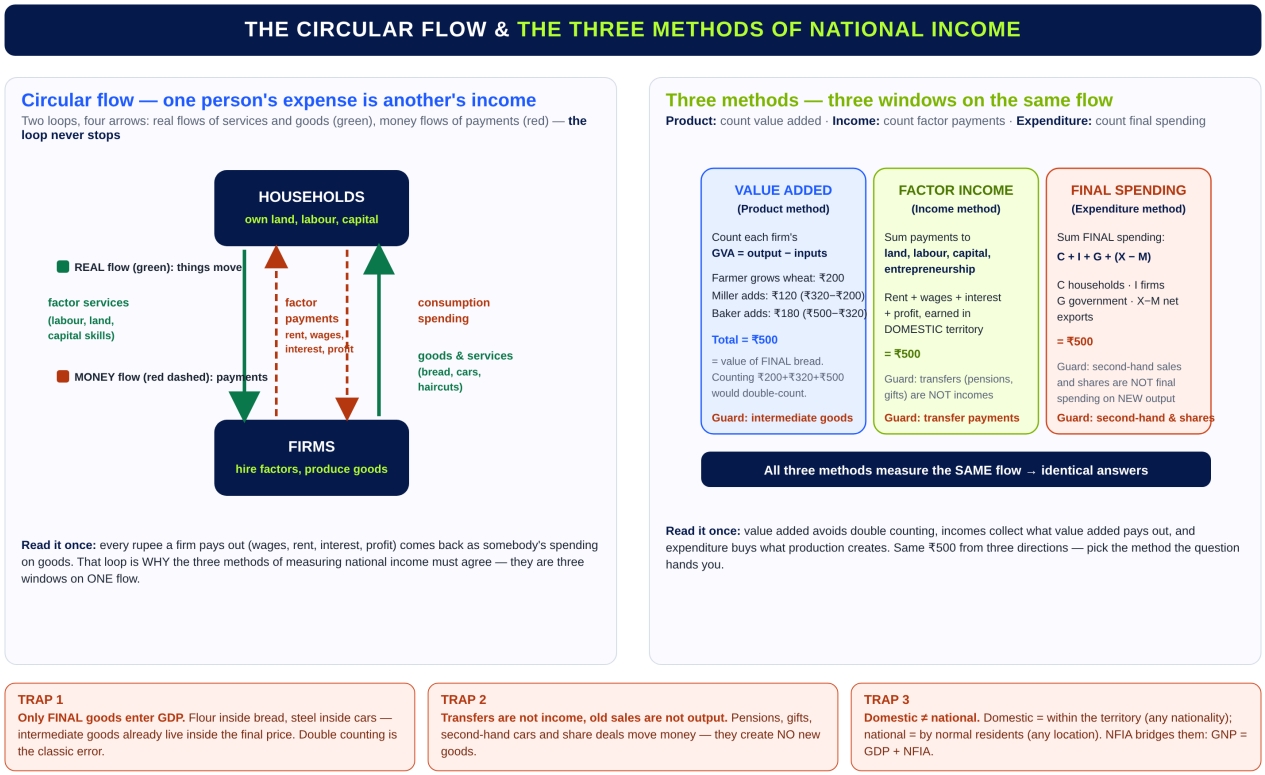



Figure 1: The circular flow: real flows of factor services and goods (green) are matched by money flows of factor payments and consumption spending (red dashed). One loop, three measuring points.

- **Production = income:** every rupee of value produced is paid out to factors as rent, wages, interest or profit. Nothing is left over.
- **Income = expenditure:** every rupee earned is spent on final goods (in the simple two-sector model with no savings leak).
- **Therefore:** National Product = National Income = National Expenditure. The three methods are not rivals — they are three checkpoints on one loop, and they must return the same number.

## Method 1 — Value Added (Product Method)

Walk along the production chain and ask each firm: "how much NEW value did YOU create?" — output minus the intermediate inputs bought from others. Sum those additions and you have the economy's total, with no rupee counted twice.

**THE VALUE ADDED IDENTITY**

GVA = Value of output − Intermediate consumption

**Sum of GVA across all firms (plus adjustments for taxes-subsidies) = GDP at market price.** Counting total OUTPUTS instead of additions double-counts every stage.

**WHEAT TO BREAD — KILLING DOUBLE COUNTING**

Three stages: farmer grows wheat, miller grinds flour, baker bakes bread.

| Firm | Output sold (₹) | Inputs bought (₹) | Value added (₹) |
|---|---|---|---|
| Farmer | 200 | 0 | 200 |
| Miller | 320 | 200 (wheat) | 120 |
| Baker | 500 | 320 (flour) | 180 |
| Total | — | — | 500 |

- **Wrong route:** 200 + 320 + 500 = ₹1,020 — the wheat is counted three times, the flour twice. Double counting inflates GDP with phantom value.
- **Right route:** 200 + 120 + 180 = ₹500 — exactly the price of the final bread. The value-added method reconstructs the final good piece by piece.
- **Precautions of this method:** exclude intermediate goods; INCLUDE own-account production (a farmer's grain for his family) and the imputed rent of owner-occupied homes; exclude sale of second-hand goods (no new production) — only the dealer's commission counts.

## Method 2 — Income Method

Flip the coin: value added is PAID OUT to the factors that created it. Walk through firms' account books collecting factor payments, and the same national income appears as a list of incomes.

- **Compensation of employees:** wages, salaries, employer contributions to social security — payment to LABOUR.
- **Operating surplus:** rent (land) + interest (capital) + profit (entrepreneurship) — payments to the non-labour factors.
- **Mixed income of self-employed:** the farmer-shopkeeper-doctor's income blends all four factors and cannot be split — counted as one line (huge in India).
- **Sum:** NDP at FC = Compensation + Operating surplus + Mixed income — then apply the ladder (next section) to reach any aggregate.
- **Precautions — what is NOT an income of production:**
  - **Transfer payments** — pensions, scholarships, unemployment dole, gifts: money moves with NO matching production.
  - **Windfall gains** — lottery winnings, betting gains: luck, not production.
  - **Sale of second-hand goods and financial assets** — shares, bonds, old cars: ownership changes, nothing new is produced (commissions DO count as income for the dealer's service).

## Method 3 — Expenditure Method

The third window: every final good produced must be BOUGHT by someone. Collect all FINAL spending in the economy and you have bought the whole national product.

### THE EXPENDITURE IDENTITY

GDP at MP $= C + I + G + (X - M)$

**Letters:** C = household consumption · I = gross investment (new machines, buildings, INVENTORY change) · G = government purchases of goods and services · X − M = net exports. Final spending only — no intermediate purchases, no second-hand buys, no share-market deals.

- **Why inventory change counts:** unsold output IS produced this year — it enters investment as unplanned inventory accumulation.
- **Precautions:** exclude expenditure on intermediate goods (already inside final prices); exclude second-hand purchases and pure financial transactions; include government's real purchases — but transfer payments (pensions) are again out.

## The Aggregates Ladder: From GDP to National Income

One production figure, many names. The ladder has two independent bridges: GROSS to NET (subtract depreciation) and MARKET PRICE to FACTOR COST (remove net indirect taxes). Cross both and you reach National Income.

### THE FOUR BRIDGES

NDP = GDP − Depreciation  GNP = GDP + NFIA

NNP = GNP − Depreciation  NNP at FC = NNP at MP − Net indirect taxes (NIT)

**And the headline:** NATIONAL INCOME ≡ NNP at FACTOR COST. **NFIA** = factor income earned from abroad − factor income paid to abroad. **NIT** = indirect taxes − subsidies.

### THE FULL CONVERSION — ONE TABLE, FOUR STEPS

Given: GDP at MP = ₹5,000 crore · depreciation = ₹300 · NFIA = −₹50 (Indians abroad earn less than foreigners here) · indirect taxes = ₹600 · subsidies = ₹200.

| Step | Value (₹ cr) | Rule used |
|---|---|---|
| GDP at MP | 5,000 | given |
| NDP at MP = GDP − depreciation | 4,700 | 5,000 − 300 |
| GNP at MP = GDP + NFIA | 4,950 | 5,000 + (−50) |
| NNP at MP = GNP − depreciation | 4,650 | 4,950 − 300 |
| NATIONAL INCOME = NNP at FC | 4,250 | 4,650 − (600 − 200) |

- **Check the direction of every subtraction:** depreciation always shrinks gross to net; NIT (taxes minus subsidies) always shrinks MP to FC — the factor-earners never see the tax portion.
- **Why NFIA is negative for India:** foreign companies and workers in India send home more factor income than Indians earn abroad — so GNP sits below GDP.

## Real vs Nominal GDP — and the Deflator

Prices change every year; a GDP compared across years mixes REAL growth with INFLATION. The fix: value every year's output at the SAME (base-year) prices.

- **Nominal GDP:** current year's output × CURRENT prices — grows even if only prices grew.
- **Real GDP:** current year's output × BASE-year prices — grows only when QUANTITIES grow. This is the honest measure.
- **GDP deflator:** the price index hiding inside the gap between the two: Deflator = $\frac{\text{Nominal GDP}}{\text{Real GDP}} \times 100$

### REAL GDP AND THE DEFLATOR — TWO GOODS

An economy makes rice and cloth. Base year = Year 1.

| Year | Output | Current prices (₹) | Base-year prices (₹) |
|---|---|---|---|
| Year 1 | 100 rice, 50 cloth | rice 10, cloth 20 | rice 10, cloth 20 |
| Year 2 | 110 rice, 55 cloth | rice 12, cloth 24 | rice 10, cloth 20 |

- **Nominal GDP Year 2:** $110 \times 12 + 55 \times 24 = 1{,}320 + 1{,}320 =$ ₹2,640
- **Real GDP Year 2:** $110 \times 10 + 55 \times 20 = 1{,}100 + 1{,}100 =$ ₹2,200
- **Year 1 GDP (base):** both measures equal ₹2,000 — deflator = 100 by definition.
- **Deflator Year 2:** $2{,}640/2{,}200 \times 100 = 120$ — prices rose 20% since the base year; real growth is exactly 10% (2,000 → 2,200), the rest of nominal growth was inflation.

## GDP and Welfare: What the Number Hides

GDP is the economy's scoreboard, not its report card. It counts what passes through markets — and stays silent about much that makes life good or bad.

- **Distribution is invisible:** GDP can rise while ALL the gain lands with the top 1% — the average person's life does not improve.
- **Non-market work is invisible:** a mother's cooking, cleaning and care never enter GDP; hiring a cook mysteriously "adds" to it. Same work, different ledger.

- **Externalities are invisible:** the factory's output counts; its smoke on the city's lungs does not. Cleaning up pollution RAISES GDP while making life better — a double distortion.
- **Leisure is invisible:** a 70-hour work week out-produces a 40-hour one — but is it welfare?
- **Underground activity is missed:** unreported incomes escape the ledger entirely.
- **The exam-safe conclusion:** real GDP per capita is a useful indicator of PRODUCTION, not a complete measure of WELFARE — public goods, equality, health and environment sit outside it.

## Key Formulas & Rules: One-Stop Revision

NATIONAL INCOME ACCOUNTING — EVERY RULE ON ONE PAGE

| Rule | Statement | When to use it |
|---|---|---|
| Value added | GVA = output − intermediate inputs | Product method; kills double counting |
| Income method | NDP at FC = compensation + operating surplus + mixed income | Factor-payment route |
| Expenditure method | GDP at MP = C + I + G + (X − M) | Final-spending route; inventories count |
| Gross to net | NDP = GDP − depreciation; NNP = GNP − depreciation | First bridge |
| Domestic to national | GNP = GDP + NFIA | Second bridge; NFIA = earned abroad − paid abroad |
| MP to FC | NNP at FC = NNP at MP − NIT; NIT = indirect taxes − subsidies | Third bridge |
| National income | NI ≡ NNP at factor cost | The headline identity |
| Real GDP | Current output × base-year prices | Honest cross-year comparison |
| GDP deflator | Nominal ÷ Real × 100 | Reads the price rise since base year |
| Never count | Transfers, windfalls, second-hand sales, share deals, intermediate goods | Every method's precautions |
| Always count | Own-account production, imputed rent of owner homes, inventory change, dealer commissions | Inclusion checks |

## Common Errors & Special Cases

THE TRAPS THIS UNIT SETS — READ BEFORE THE MOCK

| The rule you assume | The twist | The trap in the question |
|---|---|---|
| "All money received is income" | Transfers (pensions, gifts, scholarships) match NO production | Income-method exclusions |
| "Selling an old car adds to GDP" | Only the dealer's COMMISSION counts — the car's value was counted when new | Second-hand sales |
| "GDP includes everything valuable" | Home production, leisure, clean air and equality stay outside | GDP-and-welfare arguments |
| "National = domestic" | NFIA separates them: territory vs normal residents | GNP vs GDP numericals |
| "Real GDP uses current prices" | Real uses BASE-year prices; nominal uses current | Deflator numericals |
| "Deflator above 100 means growth" | It means PRICES rose since the base year — growth is real GDP's story | Deflator interpretation |
| "Depreciation and NIT both shrink FC" | Depreciation shrinks gross→net; NIT shrinks MP→FC — different bridges | Conversion-chain numericals |
| "Shares bought are investment" | Financial deals reshuffle ownership; I means NEW capital goods + inventory change | Expenditure-method exclusions |

## The 60-Second Self-Test

Cover the answers, say each one aloud, then check. If any answer takes longer than ten seconds, revisit that section.

- **Wealth, salary, foreign reserves, exports.** Which are stocks? → Wealth and foreign reserves (measurable at a moment).
- **GDP at MP 6,000; depreciation 500; NFIA −100; NIT 300.** National income? → NNP at FC = 6,000 − 500 − 100 − 300 = ₹5,100.

- **A pension of ₹5,000 and a teacher's salary of ₹5,000.** Which enters NI? → Only the salary — the pension is a transfer.
- **Nominal GDP 3,300; real GDP 3,000.** Deflator? → 110 — prices are 10% above the base year.
- **Flour bought by a bakery vs by a household.** Which enters GDP? → Only the household's (final); the bakery's is intermediate — already in the bread's price.
- **Indians abroad send home ₹80 cr; foreigners here send out ₹120 cr.** NFIA? → 80 − 120 = −₹40 cr; GNP below GDP.

## The Whole Chapter in One Picture

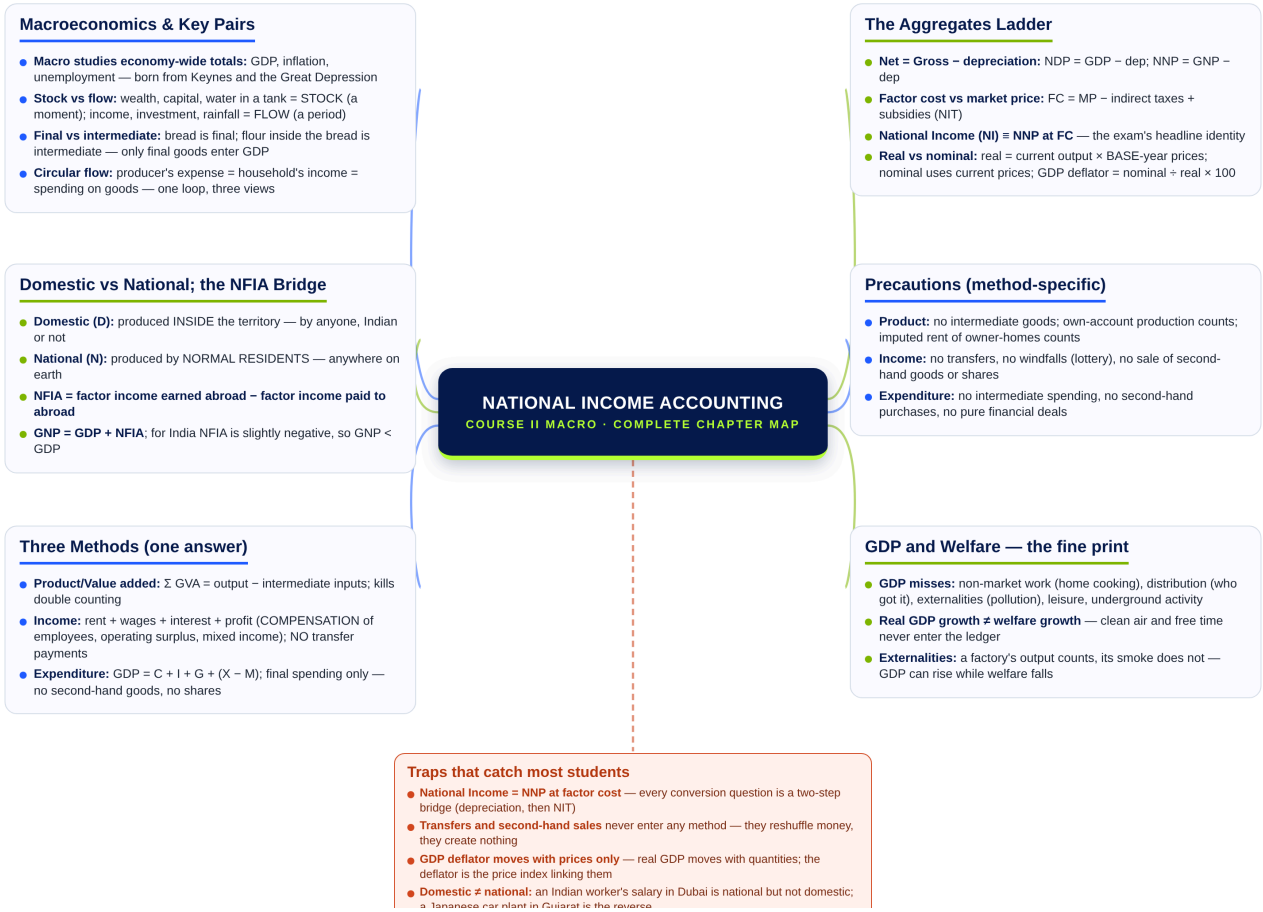



Figure 2: Chapter mindmap: macro's vocabulary pairs, the circular flow, the three methods with their guards, the aggregates ladder, real vs nominal GDP, and what GDP hides about welfare — with the traps that catch most students.

## Practice Questions (Exam Pattern)

Ten questions in the CUET UG style. Attempt all of them — the paper gives +5 for each correct answer and takes nothing away for a wrong one.

**Q1.** Which of the following is a STOCK variable?

(A) national income (B) investment
(C) wealth (D) exports

**Q2.** Which of these IS included in national income?

**(A)** pension paid to retired workers **(B)** imputed rent of an owner-occupied house
**(C)** sale of a second-hand car **(D)** scholarship given by the government

**Q3.** The problem of double counting is avoided by using:

**(A)** the income method **(B)** the value added method
**(C)** the expenditure method **(D)** the deflator

**Q4.** GDP at market price minus depreciation gives:

**(A)** NNP at factor cost **(B)** GNP at market price
**(C)** NDP at market price **(D)** national income

**Q5.** National income is defined as:

**(A)** GDP at market price **(B)** GNP at market price
**(C)** NNP at factor cost **(D)** NDP at factor cost

**Q6.** If NFIA is negative, then:

**(A)** GNP exceeds GDP **(B)** GDP exceeds GNP
**(C)** GDP equals GNP **(D)** national income is negative

**Q7.** Under the expenditure method, GDP equals:

**(A)** $C + I + G + (X - M)$ **(B)** $C + S + G$
**(C)** rent + wages + interest + profit **(D)** value of intermediate goods

**Q8.** Transfer payments are excluded from national income because:

**(A)** they are too small **(B)** no production corresponds to them
**(C)** they are taxed **(D)** the government cannot track them

**Q9.** Real GDP is measured at:

**(A)** current-year prices **(B)** base-year prices
**(C)** average world prices **(D)** factor cost only

**Q10.** Nominal GDP is ₹2,200 crore and real GDP is ₹2,000 crore. The GDP deflator is:

**(A)** 90.9 **(B)** 110
**(C)** 200 **(D)** 1.1

## Detailed Solutions

Each solution shows the working, not just the verdict — cover the answer line, attempt the reasoning, then compare.

**Sol. Q1.** Wealth can be measured at one instant (say, midnight on 31 March) — the stock test. Income, investment and exports need a PERIOD to be meaningful — flows.

**Answer: ( C )**

**Sol. Q2.** Imputed rent counts because the owner-house PRODUCES housing services for its own family. Pensions and scholarships are transfers; the old car was counted when newly produced.

**Answer: ( B )**

**Sol. Q3.** Value added subtracts intermediate inputs at every stage, so each rupee of value is counted exactly once — the wheat-bread chain totals ₹500, not ₹1,020.

**Answer: ( B )**

**Sol. Q4.** Depreciation is the bridge from gross to net, and the goods stay at market price: GDP − depreciation = NDP at MP. Crossing to factor cost or national would need NIT or NFIA too.

**Answer: ( C )**

**Sol. Q5.** National income ≡ NNP at factor cost — gross minus depreciation, domestic plus NFIA, market price minus net indirect taxes. All three bridges crossed.

**Answer: ( C )**

**Sol. Q6.** NFIA = earned abroad − paid to abroad. Negative means foreigners earn more factor income here than Indians do abroad, so GNP = GDP + NFIA falls BELOW GDP — India's own case.

**Answer: ( B )**

**Sol. Q7.** The expenditure identity collects final spending: consumption + investment + government purchases + net exports. Rent + wages + interest + profit is the INCOME method; C + S + G omits exports and inventories.

**Answer: ( A )**

**Sol. Q8.** A pension buys no goods and services — no bakery produced anything for it. National income measures PRODUCTION, so money that moves without production must stay outside.

**Answer: ( B )**

**Sol. Q9.** Real GDP values current quantities at BASE-year prices, freezing prices so only output can move the number. Current prices give nominal GDP.

**Answer: ( B )**

**Sol. Q10.** Deflator = nominal ÷ real × 100 = 2,200 ÷ 2,000 × 100 = 110 — prices stand 10% above the base year. Option A inverted the division; option D forgot to multiply by 100.

**Answer: ( B )**

## Wrong-Answer Clinic — the one-line corrections

Dropped marks above? Find your slip here and rewrite the corrected rule in your own words.

| If you answered... | Your slip was... | The corrected rule, in one line |
|---|---|---|
| Q1 option A | Confusing every big number with a stock | Stock = measurable at a moment (wealth); income and exports need a period (flow) |
| Q2 option C | Counting resale as production | Second-hand sales transfer ownership — only the dealer's commission is new service |
| Q4 option D | Skipping the two extra bridges | GDP − dep = NDP at MP; national income needs NFIA and NIT as well |
| Q6 option A | Reading the NFIA sign backwards | Negative NFIA drags GNP BELOW GDP — exactly India's position |
| Q9 option A | Letting inflation pose as growth | Real GDP freezes prices at the base year — only quantities may move it |
| Q10 option D | Dropping the ×100 | Deflator = nominal ÷ real × 100 = 110 — an index, not a ratio |
| Q10 option A | Dividing upside down | Numerator is nominal, denominator is real: 2,200 ÷ 2,000 — never the reverse |

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